

FATCA REQUIREMENTS

- The Government of the United States (US) has enacted tax regulations called the Foreign Account Tax Compliance Act (FATCA) of 2010, which will provide the US tax authority – Internal Revenue Service (IRS) with a new means of gathering information regarding US persons who have money invested outside of the US.
- The IRS is concerned that US taxpayers are evading tax by investing money overseas, either directly or through non-US institutions.
- FATCA will provide the IRS with a new means of gathering information regarding US persons who have money invested outside of the US.
- Any Prudential business that does not implement FATCA requirements causes the Prudential Group to be non-compliant, and in these circumstances all Prudential Group US assets are at risk of penalty via a 30% withholding tax from the US government.
- Under FATCA, Prudential will suffer 30% withholding on certain US source income unless it enters into an agreement with the IRS.

The term 'United States person' in accordance with the said act means:

- a citizen or resident of the United States,
- a domestic partnership,
- a domestic corporation,
- any estate (with certain exceptions), and
- any trust if – (i) a court within the United States can exercise primary supervision over the administration of the trust, and (ii) one or more United States persons have the authority to control all substantial decisions of the trust.

An entity, on the other hand, is any policyholder who is not an individual. It includes trusts, partnerships, incorporated and unincorporated structures, and cooperatives.

Objective:

- We must identify any policyholders (or potential policyholders) that look as if they may have a US tax obligation, confirm whether they do have a US tax obligation, and if they do, report their details to the US IRS.
- To identify anyone with a potential US tax obligation: ▪ Several fields on the application form become mandatory;
- Additional questions are asked on the application form; and
- A new process is required for collection of US tax declaration forms and supporting documents.
- New customers will not be approved unless they complete the mandatory questions and provide tax documentation, if required.

FATCA Decision Tree:

A US Indicia is an indicator of whether an applicant may have a US tax obligation.

Decision tree reference#	US Indicia checked by sales representatives	Response	Mandatory action by sales representatives
#1	Check if the applicant's nationality is US	US	Obtain a signed Form W-9
		Non-US	Refer to #2
#2	Check the answer on the application to the question: Do you currently file tax return in the US	Yes	Obtain a signed Form W-9
		No	Refer to #3
#3	Check if the applicant's Country of Birth is US	US	i. Obtain a signed form W8-BEN* and ii. A copy of the individual's Certificate of Loss of Nationality of the US
		Non-US	Refer to #4
#4	Check if any address(es) provided by the applicant is US	US	Obtain a signed form W8-BEN*
		Non-US	i. No additional documentation required. ii. Continue with normal policy application procedure.

*Whenever a Form W-8Ben is provided, it must be supported by a form of government issued identification document evidencing non-US citizenship, e.g. non-US passport.

FATCA Forms

Only FIs, Trusts, and entities with US indicia are required to complete the US tax declaration forms (W8/W9). All others are required to complete a substitute declaration.

Applicant must declare their status by indicating their entity type on the US tax declaration form.

1. **Form W-9** – US tax declaration form used to collect identifying information of a US person (e.g. US taxpayer identification number). This is required when an applicant is a US national and / or currently files tax return in the US.
 - The sales representatives must ensure the form is completed, signed and dated with attention to the following:
 - a. Must be completed in English.
 - b. FULL name of the applicant is filled, and the name must be same as the individual's identification document.

- c. A 9-digit US TIN (Taxpayer Identification Number) is provided. TIN for individuals is their Social Security Number.
- d. The form must bear FULL signature of the applicant and the signature must match with that on policy application form and the individual's identification document.
- e. Employer Identification Number (EIN) must be completed.
- f. Date provided on the form must not be postdate.

2. Form W-8BEN – US tax declaration form used by non-US persons to certify their non-US status.

This is required when the applicant has some US indicia but DOES NOT currently files tax return in the US.

- The sales representatives must ensure the form is completed, signed and dated with attention to the following:
 - a. Must be completed in English.
 - b. FULL name of the applicant is filled, and the name must be same as the individual's identification document.
 - c. Permanent address must be filled in. It cannot be a P.O. Box or a "care of" address. The address must match with that on policy application form.
 - d. The form must bear the full signature of the applicant and the signature must match with that on policy application form and the individual's identification document.

Certificate of Loss of Nationality of the US – a form issued by the Bureau of Consular Affairs in the US which is completed by a US citizen seeking renunciation of citizenships. This is required when the applicant has a US place of birth but has given up their US citizenship and DOES NOT currently file a tax return in the US, i.e. is not a US tax resident.

- The sales representatives must ensure the copy of certificate obtained is filed to the Bureau of Consular Affairs with attention to the following:
 - a. Name of the individual on the certificate MUST match with the individual's identification document and the name on the associated W-8BEN.
 - b. The certificate must bear a stamp on the upper right corner as "approved" with a date evidencing the date of approval.
 - c. Whenever a Certificate of Loss of Nationality of the US is provided, it must be submitted with a completed Form W-8BEN and a copy of a non-US passport or other government issued ID.